

Either way, in 1989, the family unit earned an average income of almost \$60K (in year 2004 dollars), and by the year 2004 it increased to more than \$70K. This is obviously good news—the sign of a growing corporation.

**TABLE 1.3 Pre-Tax Incomes Per Family Unit in
Constant Dollars**

	1989	1995	2001	2004
Average	\$60,100	\$55,000	\$73,600	\$70,700
Median	\$38,800	\$37,800	\$42,700	\$43,100

Source: U.S. Federal Reserve Consumer Finances Survey 2004, Table 1 95-98, Table 1 01-04.

Of course, the opposite of all the assets listed in Tables 1.1 and 1.2, which occupy the left side of the balance sheet, are Family, Inc.’s liabilities on the right side. Remember that accountants traditionally place the assets of a corporation on the left side and the liabilities plus “equity capital” on the right side. I’ll get to a picture of that in a moment.

Indeed, whether one wants to buy a brand-new car, finance a graduate degree, or purchase a new home, in North America we have access to a number of credit and lending sources that allow us to make such purchases today even if we do not have sufficient financial assets to do so. I discuss the merits and pitfalls of debt in much greater detail in Chapter 4, “Debt Can Be Good at All Ages,” but now let’s look at what people are actually doing. It seems people hold debt in a number of forms and use it to accomplish numerous goals. So what do Americans owe? How does the level and composition of this debt evolve over the life cycle?

About 76.4% of the population carries at least some form of debt, and the median total debt equaled \$55,300 in 2004, according to the most recently published U.S. Federal Reserve Consumer Finances Survey. This is an increase of 34.2% since 2001.

Table 1.4 focuses in on Family, Inc.’s liabilities. Unquestionably, the most prevalent and the biggest type of debt on Family, Inc.’s balance sheet, which has increased significantly in recent years among the population, is its outstanding mortgage. The 47% of families with this type of debt are carrying a balance of \$95,000. A mere 4% have other forms of home-equity credit in the amount of \$87,000.